Grupo Bimbo, S.A.B. de C.V. | ESG Scores Raw Data

BMV:BIMBO A (IM KEY: 4278592; SPCIQ KEY: 877906; TCUID: 53231)

Additional Disclosure

Year: Methodology Year: 2020
Question: Board Type
Include Modeled Scores : Yes

Board Type

Question

Does the company report on its board type?

Rationale

An effective board of directors, properly constituted, is the linchpin of good corporate governance. Boards are responsible for managerial performance, meeting the corporation's stated objectives, compliance with applicable laws and regulations, and protecting shareholder rights and interests. To assess the quality of a board's structure, we focus on its composition, its proportion of independent members, and its overall size, as empirical studies show that oversized boards are counter-productive to firm performance. We also assess the extent to which companies have made explicit statements about their definitions of, and requirements with respect to board members' independence.

Performance Summary	
Question Level Company Performance	20
Question Weight	12
Year-on-Year Change	0
Industry Average Score	37
Industry Highest Score	100

The question layout and the company's verified information is provided below. No information is shown if the company did not provide any information or if it opted out of sharing non-public information.

Additional Question Guidance & Information Display

▼ Additional Question Guidance & Information Display

Key Definitions

Types of Boards: Companies can choose between one- and two-tier systems when answering the question. The descriptions below will help you identify which of these structures your company has in place.

One-tier systems: have a single board consisting of executive, non-executive and independent directors. It is possible that such boards only consist of independent directors or a combination of executive and independent directors. Most countries use a one-tier system.

Two-tier systems: have an executive board and a supervisory board, which is composed of non-executive or independent members and – in certain countries – employee representatives. Countries that commonly use two-tier systems include Austria, Denmark, Finland, France, Germany, Hungary and The Netherlands. Sweden and Norway are exceptions and should be classified as one-tier despite the presence of employee representatives on the board.

For French companies that have a one-tier board system with employee representatives, in accordance with the French code of corporate governance, employee representatives should be considered as non-executive directors and be included in the total board size.

Types of Directors: We outline definitions of possible types of directors below. These definitions should be used to classify board members.

Executive directors: are employees, and are usually senior managers of the company. Executive directors are employees of the company, and are in an executive function (e.g. CEO, CFO, etc.).

Independent directors: are non-executive directors that are independent by meeting at least 4 of the 9 criteria (of which at least 2 of the 3 first criteria) listed below:

1. The director must not have been employed by the company in an executive capacity within the last five years.
2. The director must not accept or have a "Family Member who accepts any payments from the company or any parent or subsidiary of the company in excess of $60,000 during the current fiscal year or any of the past three fiscal years", other than those permitted by SEC Rule 4200 Definitions, including i) payments arising solely from investments in the company's securities; or ii) payments under non-discretionary charitable contribution matching programs. Payments that do not meet these two criteria are disallowed.
3. The director must not be a "Family Member of an individual who is, or during the past three years was employed by the company or by any parent or subsidiary of the company as an executive officer."
4. The director must not be (and must not be affiliated with a company that is) an adviser or consultant to the company or a member of the company's senior management.
5. The director must not be affiliated with a significant customer or supplier of the company.
6. The director must have no personal services contract(s) with the company or a member of the company's senior management.
7. The director must not be affiliated with a not-for-profit entity that receives significant contributions from the company.
8. The director must not have been a partner or employee of the company's outside auditor during the past three years.
9. The director must not have any other conflict of interest that the board itself determines to mean they cannot be considered independent.

Other **non-executive directors:** are directors that are not executives but also do not qualify as independent as defined above. They are all other members of the board not already accounted in the executive and independent categories. They might be employed by the organization.

Data Requirements

- The type of board, the breakdown between the different types of directors, and the total board size must be filled out.
- If the definition of independence at the company differs from our definition given above, please adjust the number of independent directors in line with our definition and provide a comment in the comment box.
- In the question part "Board Independence Statement" we also expect the statement to meet at least 4 out of 9 criteria of which at least 2 of the first 3. If this is not the case, then please indicate so.
- In the question part "Board Independence Statement" we do allow you to refer to an established national or stock exchange Corporate Governance Code as long as this also meets our definition of independence.
- All data in this question is expected to be publicly available. However, we will double check your comments to see if the definition of independence differs from ours.

Public disclosure requirements:

- Board structure (it must be determinable whether board members are executive directors, employee representatives, non-executive directors or independent directors)
- Publicly available independence statement
- Public reporting on the definition of independence used (i.e. if it is in-line with local or international standards corresponding to the definition used by us)
- Public reporting on the target share of independent directors on the board

References

GRI Standards 102-22 & 405-1 are relevant for this question.

Data View

QUESTION LEVEL INPUT	COMPANY ANSWER
Company reports on board structure	Applicable
One-Tier System (companies with a board of directors)/Two-Tier System (companies with a supervisory board)	YES
Board type	One-tier
Executive directors	1
Independent directors	7
Other non-executive directors	10
Employee representatives	Not applicable
Senior executives	Not applicable
Company has a publicly available independence statement for the board of directors	Yes
Board Independence statement includes explicit definition/criteria of independence of board members	YES
Board Independence statement includes a target share of independent directors on the board	YES

Questionnaire

Please indicate the number of executive and non-executive directors on the board of directors/supervisory board of your company and specify where this information is available in your **public reporting** or **corporate website**. In addition, please indicate if your company has a **public** independence statement for its board of directors in place. Additional clarification on one-tier and two-tier systems is available in the information text.

1. (●)

Board Type

Please select whether your company has a one-tier or two-tier board and provide a public reference:

1. (●)

ONE-TIER SYSTEM (companies with a board of directors)

	Number of members
Executive directors	1
Independent directors	7
Other non-executive directors	10
Total board size	

2. ( )

TWO-TIER SYSTEM (companies with a supervisory board)

		Number of members
SUPERVISORY BOARD	Independent directors	
	Other non-executive directors	
	Employee representatives (if not applicable, please leave the field empty)	Not applicable
MANAGEMENT BOARD/EXECUTIVE MANAGEMENT	Senior executives	Not applicable
	Total size of both boards	

Grupo Bimbo, S.A.B. de C.V. | ESG Scores Raw Data

Board Independence Statement

Please indicate if your company has an independence statement for the board of directors in place

1. (•)
   Yes, we have a publicly available independence statement. Please indicate below what the statement includes and provide a **public reference**:
   1. [x]
      An explicit definition of what determines that a board member is independent. Please specify:
   2. [x]
      A target share of independent directors on the board. Please specify:
2. ( )
   We do not have a public independence statement for the board of directors
2. ( )
   We do not report this information
3. ( )
   Not applicable. Please provide explanations in the comment box below.
4. ( )
   Not known

Confidential additional comments

Use the text field below only in the following cases: (i) to describe significant changes in data or calculation methodology compared to last year's submission, (ii) to explain why a question is not applicable to your company's business model, (iii) to explain if your data deviates from the unit or format requested, or (iv) to provide supporting notes on translations of non-English references.